Grupo Bimbo (BIMBO A): assumptions and justification

Independent peer group, WACC and DCF built on the three S&P Capital IQ templates. Pricing date 16-Oct-2026; MXN millions unless stated; IFRS. Prepared 18-Oct-2026 for Diego Benavides Pro. Everything here is a recommendation: the team decides the thesis, the WACC and the target price.

Tags: `[sourced]` from a filing or public source `[calc]` computed from tagged numbers `[assumption]` my judgment, with a rationale `[unverified]` not tied to a source.

Headline results. Base WACC (MXN nominal) **10.40%** (cost of equity 13.19%, after-tax cost of debt 6.80%, weights 56.4% equity / 43.6% debt). Peer EV/EBITDA LTM medians: core **6.37x**, secondary 9.06x, all nine 8.20x; Bimbo trades at 7.05x. DCF on consensus placeholders with a 6.4x exit multiple: **MXN 54.94** per share against a price of MXN 58.60 (-6.2%).

1. What was done to the workbooks

The three originals in Downloads were copied, not modified. The copies are in *valuation-independent/*. The Capital IQ plug-in was not available, so its formulas were replaced by values or links to input sheets. Excel was used to write the files, so macros, buttons and signatures of the two .xlsm files are intact.

Workbook	Sheets added (not in the template)	Template cells changed
SPG_FinancialsAndPeerAnalysis_independent.xlsx	**4 added:** Peer_Inputs, Bimbo_Inputs, Multiples_Summary, Peer_Selection	TearSheet and PeerAnalysis: plug-in formulas replaced by links to the new sheets (same layout). Unavailable data shown as "n/a"
SPG_WACC_independent.xlsm	**2 added:** Independent_Inputs, Decision_Table	Manual-override cells (C48, C50, C54, C56), company data (V62:V74), peer table (rows 11-20 and 47-56), selected beta in W43, currency Mexican Peso. A note block was written in I28:I34
SPG_DCF_independent.xlsm	**1 added:** Independent_DCF_Inputs	Header, company, balance-sheet and history cells replaced by inputs; forecast drivers (rows 106, 108, 111, 121); exit multiple R144; **4 formulas corrected in Reverse_DCF** (O22, O24, O26, O34; originals written in B85)

2. Common data decisions

Item	Value used	Tag / source	Why
Pricing date	16-Oct-2026	`[sourced]` Capital IQ pulls of 15/16-Oct-2026	Latest consistent date across all pulls
Bimbo share price	MXN 58.60	`[sourced]` BMV official close	Official close; matches Capital IQ chart
Shares	4,296.28m	`[sourced]` Capital IQ, 30-Jun-2026	Latest count after the April-2026 cancellation
Market cap	MXN 251.8bn (US$13.6bn)	`[calc]`	Price x shares
USD/MXN spot	18.479	`[sourced]` Yahoo Finance, 16-Oct-2026 (Capital IQ chart implies 18.49)	One pricing-date rate for every company so market caps and EVs are comparable
Debt incl. leases	MXN 194.9bn (US$10,855m at CIQ rate 0.05569)	`[sourced]` Capital IQ, 30-Jun-2026	Same definition as the peers (CIQ debt includes leases); pairs with IFRS 16 EBITDA
Net debt incl. leases	MXN 177.9bn (US$9,907m)	`[sourced]` Capital IQ	Used for Bimbo's EV
Bimbo LTM EBITDA	MXN 60,919m (IFRS 16)	`[sourced]` company 2Q26 release	Company figure; Capital IQ-implied alternative 64,706
Peers' data	Capital IQ market cap, debt, EBITDA, margins, FCF, DPS	`[sourced]` data/capitaliq	Only source in the project with comparable definitions

Missing market caps (Yamazaki, Arca, Gruma EV)	Price x shares; EV = market cap + debt - cash	`[calc]`	Capital IQ pricing failed (Arca resolved to Aon, Yamazaki no data); better a flagged calculation than a blank
Peer EV/EBITDA	EV divided by EBITDA from the same table	`[calc]`	Capital IQ's multiples tool disagrees by 0.5x-1.7x with its own table; the table quotient uses the same date and definitions
Not returned by Capital IQ	52-week range, 1-day change, bond yields, EMBI, betas, Moody's/Fitch for peers	-	Shown as "n/a"; nothing invented

3. Peer group

Inclusion criteria (in order of weight)

- **Business:** bread, baked goods, tortillas = core; branded packaged food, snacks, beverages with route-to-market = secondary.
- **Geography:** Mexico/US/LatAm preferred (Bimbo: 44.6% North America, 32.4% Mexico); global names accepted for scale.
- **Size:** market cap above US$1bn and EBITDA above US$250m.
- **Accounting:** IFRS preferred (Bimbo is IFRS 16); US GAAP and J-GAAP accepted but flagged, because operating-lease cost sits inside their EBITDA while Capital IQ debt includes leases (their multiples run slightly high).
- **Data:** Capital IQ price, debt and EBITDA at 16-Oct-2026.

Company	Group	EV/EBITDA LTM	EBITDA margin	Justification and flag
Flowers Foods	Core	6.68x	9.3%	Pure-play US bread, same DSD model. Distressed (BB+ negative, price -78% in 5 years): a floor
Gruma	Core (adjacent)	6.01x	15.3%	Mexican, IFRS, tortilla overlap; not a bread company. EV is my calculation
Yamazaki Baking	Core	6.06x	8.2%	Largest listed pure bakery; J-GAAP, net cash, low growth. EV is my calculation. Excluded from the beta average
Aryzta	Core	8.33x	9.8%	IFRS bakery manufacturer; B2B, small cap
Arca Continental	Secondary	7.85x	19.4%	Mexican route-to-market staple, IFRS; beverage, not bakery. EV is my calculation
J.M. Smucker	Secondary	9.06x	24.7%	Owns Hostess; P/E 58.6x not used
Campbell's	Secondary	8.20x	16.6%	Baked snacks; levered (4.4x), BBB- negative
Mondelez	Secondary (ceiling)	16.77x	15.3%	Global biscuits; outlier multiple
PepsiCo	Secondary (ceiling)	11.48x	19.5%	Frito-Lay competes with Barcel in Mexico; scale and A+ rating
Grupo Nutresa	Excluded	-	-	Capital IQ EV implausible (60x, currency error)

Multiple chosen and why

Core median 6.37x as anchor, **secondary median 9.06x** as ceiling (all nine: 8.20x). Reasons: the core four are the closest business models; three of the four are not US GAAP; Bimbo's 7.05x sits just above them (+11%). The secondary group has 16-25% margins against Bimbo's 14.5%, so it is a ceiling, not a base. The median is not distorted by Mondelez at 16.8x. *Weak spot:* the core set rests on distressed or low-growth names, so 6.4x may be a floor.

4. WACC assumptions

Framework. A peso nominal WACC built from the peso curve, because the model's cash flows are in pesos. The risk-free rate has Mexico's default spread removed and country risk is added back once, region by region. A USD WACC (7.94%, or 9.43% in pesos) is kept only as a cross-check.

Assumption	Value	Tag / source	Justification	If the alternative were used

Risk-free rate	7.51% = M-Bono 10Y 9.26% - 1.75%	[sourced] CIQ 16-Oct-2026; Damodaran July-2026 (Mexico Baa3 default spread)	The M-Bono includes a payment for Mexico's default risk; strip it and charge country risk once, by where Bimbo earns. Otherwise 56% of sales outside Mexico would carry the Mexican sovereign spread	Gross 9.26%: WACC 11.38% (+98 bp)
Equity risk premium	4.20%	[sourced] Damodaran implied mature-market ERP, July-2026	Market-implied today; same source as the country premiums, so base and add-on are consistent	Kroll 5.0%: 10.79% (+39 bp)
Unlevered beta	0.56 (Food Processing, Global, cash-corrected)	[sourced] Damodaran, Jan-2026, 1,450 firms	Large sample; cash has zero beta so it is removed. Bimbo's own 5-year regression vs the IPC gives 0.825 raw (R-squared 0.30), 0.88 Blume, which brackets the result	0.53 not cash-corrected: -11 bp; US industry 0.47: -33 bp
Levered beta	0.863 = 0.56 x (1 + 0.70 x 0.774)	[calc]	Relevered with Bimbo's market D/E and the 30% tax rate	Bimbo regression 0.825: -9 bp
Peer regression betas	Shown, not used (raw 0.06-0.55; unlevered average 0.25)	[calc] Capital IQ prices vs S&P 500, 5 years monthly	R-squared 0.00-0.16; staples decoupled from the index; Yamazaki negative. A WACC on 0.25 would be 9.27% and indefensible	-113 bp
Country risk premium	2.05%, added once	[calc] Damodaran July-2026 by country; plants by country in the annual report 2025 (p.115-116); FY25 Adj. EBITDA by segment	Regions (plant-weighted): North America 0.17%, Mexico 2.72%, Latin America 3.94% (Venezuela excluded), Europe/Asia/Africa 2.63%. Weighted by Adj. EBITDA (NA 28.8%, Mexico 55.4%, EAA 9.8%, LatAm 6.0%) because Mexico is 32% of sales but 55% of EBITDA: value comes from cash flows. Added, not multiplied by beta, because sovereign risk is not market-beta risk	Sales weights 1.70%: -20 bp; none: -116 bp; Mexico only 2.72%: +38 bp
Pre-tax cost of debt	9.71% = M-Bono 10Y + 45 bp	[sourced] BIMBO 26 priced at M-Bono + 45 bp (Feb-2026, prospectus)	A peso WACC needs a forward peso cost; the market already priced Bimbo's spread. Book average 6.5% is a mixed-currency historical cost. Capital IQ returned no bond yields	Book 6.5%: 9.42% (-98 bp); USD 6.14%: -109 bp
Capital structure	56.4% equity / 43.6% debt (D/E 0.774), leases in debt	[calc] price x shares; CIQ debt incl. leases	Market values; current structure equals management's stated 2.0-2.5x net debt/EBITDA zone, with no announced change; IFRS 16 EBITDA pairs with lease-inclusive debt	Peer median D/E 0.48: +39 bp; ex-leases: +20 bp
Tax rate	30%	[sourced] Mexican statutory (EEFF25 p.56)	Marginal rate for the interest tax shield and for relevering; the 35.6% effective rate includes non-deductible items	35.62%: -30 bp
Size premium	0	[assumption]	Large cap (US$13.6bn)	-

Cross-checks: USD route 7.94% (UST 10Y 5.09%, cost of debt UST + ICE BofA BBB spread 1.05% = 6.14%); peso equivalent 9.43% with a 1.38% inflation gap (Mexico 2026 CPI forecast 3.76% vs US breakeven 2.35%). Management's own post-tax impairment rates (FY25): Mexico 10.00%, US 7.27%, Canada 6.50%, Spain 7.00%, Brazil 10.25%.

5. DCF assumptions

Important: the forecast is a neutral placeholder (Capital IQ consensus). Growth, margin and capex are the team's thesis decisions.

Assumption	Value	Tag / source	Justification
Valuation date / base year	16-Oct-2026; FY0 = FY2025; first forecast year 2026E counts 76 days	Template mechanics	Dec year-end; stub as designed in the template
Revenue 2026E-28E	426,275 / 445,288 / 468,431 (growth -0.2% / +4.5% / +5.2%)	[sourced] CIQ consensus mean, 20-Sep-2026	Only neutral, sourced forecast in the project files
Revenue growth 2029 / 2030	4.7% / 4.3%	[assumption]	Fade from 5.2% toward ~4% terminal nominal growth

EBITDA margin (IFRS 16)	14.57% / 14.57% / 14.73%; held at 14.73% in 2029-30	[sourced] consensus EBITDA / revenue; hold [assumption]	No margin expansion beyond consensus
Gross margin (COGS %)	52.3% / 52.0% / 52.05%; held	[sourced] consensus	Only drives the working-capital schedule
Capex % revenue	5.16% / 5.02% / 4.90%; 4.85% / 4.80% in 2029-30	[sourced] consensus capex; 2029-30 [assumption]	Consensus (US$1.26bn in 2026) is above management's 2026 guide (US$1.0-1.2bn), so it is conservative
Lease principal added to capex	1.39% of revenue	[calc] FY2025: MXN 5,923m / 427bn	Leases are inside debt, so new leases are reinvestment; consistent with the WACC weights
D&A	Rises from 86% to 100% of capex plus leases by 2030	Template mechanics	Steady state in the terminal year
Tax	30% on EBIT	[sourced]	Statutory rate, as in the WACC
Working capital	FY2025 days held	Template schedule	Bimbo has negative working capital; effect small
Discounting	Mid-period; WACC 10.40%	Template choice	Cash flows arrive through the year
Terminal value	FY2030 EBITDA (MXN 75.3bn) x 6.4x	[assumption]	Core-peer median 6.37x; below Bimbo's 7.05x today and its 7.36x mean for 2019-26, so no re-rating. Implied perpetual FCFF growth 3.66%
Debt, cash, NCI	194.9bn incl. leases; 17.0bn; 0.7bn	[sourced] CIQ 30-Jun-2026; NCI book Dec-2025	Latest balance sheet available; NCI at book because no market value was returned
Reverse DCF placeholders	EBIT margin 8.5%, capex plus leases 6.3%, terminal growth 4.0%	[assumption]	Close to the main DCF's 2030 values; revenue growth solved by Goal Seek

Results

Measure	Value
Enterprise value / equity value	MXN 414.7bn / 236.0bn
Value per share vs price	MXN 54.94 vs 58.60 (-6.2%)
Terminal value share of EV	76.7%
Sensitivity	1.0x of exit multiple = about MXN 11.6; 1 point of WACC = about MXN 3.1
Reverse DCF	The price needs about 7.6% a year revenue growth under the placeholders (4.5% growth gives about MXN 45)

6. Template changes that go beyond filling cells

- **WACC workbook:** the country risk premium sits in the "Size Premium" cell (the template has no CRP line). The selected beta is "Regression Beta" but its cell (W43) holds my relevered industry beta, not a Capital IQ regression.
- **DCF workbook, Reverse_DCF:** four formulas corrected (O22, O24, O26, O34) because the template discounted the terminal flow twice, counted the already-realised FY0 flow and divided enterprise value (not equity value) by shares. Without the fix the sheet showed MXN 88 at 4.5% growth. Originals are written in cell B85.
- **Plug-in helper tables** (government-yield lists, bond lists, S&P history) still show #NAME? in columns beyond the dashboards and are not used; the dashboards run on manual overrides.

7. Limits and open points

- **Bond yields and Mexico EMBI** were not returned by Capital IQ: the cost of debt is a build-up (M-Bono + issue spread), not a quoted yield.
- **Lease basis:** US GAAP peers keep operating-lease cost in EBITDA while their Capital IQ debt includes leases; I did not adjust.
- **Gruma LTM EBITDA:** 995.0 in Capital IQ against 1,108.9 on the company basis; to be verified.
- **Latin America / Europe-Asia-Africa premiums** use plant counts as a proxy for asset exposure; Venezuela is excluded.

- **DCF timing:** balance sheet at 30-Jun-2026 and stub from 16-Oct-2026, so about MXN 1.5 per share of 2026 cash flow is not captured.
- **Team decisions still open:** CRP weight basis (EBITDA vs sales), target capital structure, currency framework (peso 10.40% vs USD 7.94%), and all DCF story drivers and the exit multiple.
- **Earlier version of this work** used Damodaran's January-2026 file and sales weights (WACC 9.99%); both were replaced by the July-2026 file and EBITDA weights, as described in the justification notes.

8. Sources

Project files: data/capitaliq (prompt1, model-gaps 1-7, consensus.csv, multiples.csv), data/financials.csv, data/market (Bimbo/IPC monthly, USD/MXN), wiki/Valuation (WACC inputs, peer multiples, peer leverage, bond terms, debt), wiki/Company/bimbo-segments-and-regions.md, filings/bmv Reporte Anual 2025 (plants by country, p.115-116). Public sources: Damodaran country risk files (Jan-2026, Jul-2026) and industry betas (Jan-2026); FRED (ICE BofA BBB OAS, 10Y Treasury); Yahoo Finance (monthly S&P 500, USD/MXN, IPC, Bimbo); Kroll recommended ERP via BV Wire (secondary).

Companion files in valuation-independent/: wacc_independent.md, wacc_justification.md, dcf_independent.md.